

The most important thing to remember about bonds is that when interest rates go up, bond prices go down and vice versa.

One must also be sure of the credit rating of the company that has issued the bond. This can be found through credit advisors⁴⁵ or credit rating agencies⁴⁵ like S&P, Moody's etc. Bond prices may also plummet if the credit rating of a specific bond goes down with time. The opposite is true if the credit rating goes up.

When should you invest in bonds?

There are a number of reasons why many people prefer bonds during specific times in the market. Some of them are:

1. If you have a good feel for interest rates and are aware that the interest rates are near their peak and ready to drop, you should obviously buy bonds at the current fixed high interest rates.
2. By themselves, bonds may not offer too much, but combined with other stock investments, they can give balance to a portfolio.
3. The government often issues tax free bonds for the public to invest in. Tax saving can be a trigger to enter the bond market. I have been purchasing infrastructure bonds issued by the Indian government. These not only provided tax free returns but gave me the opportunity to contribute my money towards the nation's infrastructure development. Typically, the tax rebates offered by such bonds are over and above the traditional tax rebates normally offered under Section 80C etc. As was the case with most people, I did not sell the bonds in the open market but retained them as fixed tenure, fixed interest rate investment tools till maturity.

To conclude, we can consider bonds as an investment, which is somewhere between fixed deposits and stocks. They give you the flexibility of selling them before they mature, just as you can sell a stock (may be at a higher price, if the interest rate is more than the interest rate at which you purchased them).